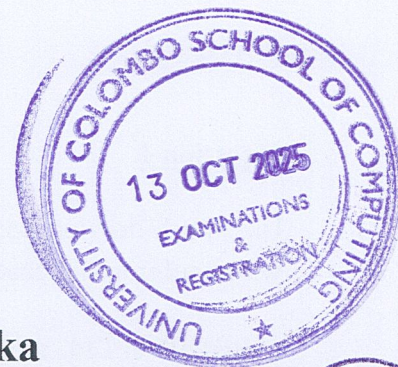


UCSC

University of Colombo School of Computing

University of Colombo, Sri Lanka

BACHELOR OF SCIENCE IN INFORMATION SYSTEMS

First Year Examination — Semester I - UCSC AY22 [held in October 2025]

IS1205 – Introduction to Management

TWO (2) HOURS

Answer ALL questions

126

Number of Pages = 14

Number of Questions = 4

To be completed by the candidate

Index Number:

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Important Instructions to candidates:

- I. Students should answer in the medium of English language only using the space provided in this question paper.
- II. Note that questions appear on both sides of the paper. If a page or a part of this question paper is not printed, please inform the supervisor immediately.
- III. Write your index number **CLEARLY** on each and every page of this Question paper.
- IV. This paper consists of **4** questions. Altogether **14** pages (including the Cover Page).
- V. Answer **ALL** questions. All questions carry equal marks.
- VI. Programmable Calculators and any electronic device capable of storing and retrieving text including electronic dictionaries, smart watches and mobile phones are **not allowed**.
- VII. Do not tear off any part of this answer book. Under no circumstances may this book, used or unused, be removed from the Examination Hall by a candidate.

To be completed by the examiners

1	
2	
3	
4	
Total	

Question 1

Use the following case study to answer the questions given in Q1 and any other questions which refer to the case study.

LUSH (Pvt) Ltd. is a family-owned Sri Lankan enterprise operating in the herbal hair care industry. Founded in 2014 and headquartered in Colombo, LUSH has grown into a trusted domestic brand known for its commitment to natural ingredients and traditional wellness. The company manufactures a range of herbal hair oils and shampoos rooted in indigenous knowledge and sustainable sourcing. Serving the Sri Lankan market primarily, LUSH has also begun to explore export opportunities, particularly in the Maldives and niche markets in South India.

LUSH's vision is "to be the trusted name in herbal hair care, reviving ancient Sri Lankan beauty traditions with modern innovation." This is reflected in its mission: "to craft safe, natural, and effective hair care products using indigenous herbs, sustainable practices, and scientific formulations." With this direction, LUSH has positioned itself at the intersection of heritage and modernity.

The company's product portfolio is diverse and well-aligned with consumer needs. The flagship product, LUSH Herbal Hair Oil, is made using local herbs such as Nelli, Bhringraj, Karapincha, and Aloe Vera. Other key products include LUSH Anti-Dandruff Shampoo, formulated with tea tree oil and Gotukola extract, and LUSH Coconut & Hibiscus Shampoo, designed to nourish and strengthen damaged hair.

For younger consumers, the LUSH Kids Herbal Care line offers mild formulations suitable for children's sensitive scalps. Recently, the company introduced a Premium Range featuring sulfate- and paraben-free Ayurvedic shampoos aimed at urban, health-conscious consumers seeking natural alternatives.

LUSH has a trusted brand status, use of 100% natural ingredients, competitive pricing, and a positive association with traditional hair care methods. These attributes have helped the company build a loyal customer base, particularly in rural and semi-urban areas. However, LUSH faces several challenges, such as limited R&D capabilities when compared to aggressive multinational competitors, an underdeveloped digital marketing presence, lack of a robust export distribution network, and reliance on seasonal agricultural inputs for raw materials.

LUSH's products have a growing demand for chemical-free and Ayurvedic products, expansion of e-commerce and social media marketing, regional export potential, and partnerships with related products. However, LUSH has stiff competition from both local and international brands like Sunsilk, Kumarika, and Himalaya. Customers are also very selective as there is a huge variety to select from. LUSH has to deal with complex regulatory environments for herbal exports; and the risk of counterfeit or imitation products diluting brand value, as entry barriers are low in terms of capital.

Index No:

- (a) Conduct a Situational Analysis for the company LUSH to identify its Strengths, Weaknesses, Opportunities and Threats.

(10 Marks)

Index No:

- (b) Carry out Michael Porter's Five Forces analysis on LUSH in order to find out what forces are working on the company and whether the forces are High, Moderate or Low. Justify your answer.

(7 Marks)

Index No:

- (c) Propose **two (2)** Business strategies to deal with the situation to minimise the forces working on LUSH, in order to be more competitive in the industry. Justify your answer.
(8 Marks)

Index No:

Question 2

- (a) The concept of 'Division of Labour' was introduced by Adam Smith in 1760s. Describe what 'Division of labour' is and write down the advantages and disadvantages of practicing it.

(9 Marks)

(b) Legal/Ethical and Formal/Informal decision-making ensures that even actions not explicitly regulated by law reflect the person's as well as the organization's values and integrity. Briefly explain and state **two (2)** examples each for the following categories of decision making.

- i. An act that is Ethical but not Legal
- ii. An act that is not Ethical but is Legal
- iii. The Mom Test
- iv. The TV Test

(8 Marks)

Index No:

- (c) A Manager's **decisional roles** involve making choices, solving problems, and using information to make strategic and operational decisions. Briefly explain four (04) decisional roles of a manager giving an example each.

(8 Marks)

Question 3

(a) Explain the following pricing strategies and give examples of instances such pricing methods could be used.

- (i) Cumulative Pricing
- (ii) Loss Leader Pricing
- (iii) Price Skimming

(6 Marks)

Index No:

(b) Are the following statements **TRUE** or **FALSE**? Justify and explain your answer giving an example each.

- i. When the switching costs between products is low, Threat of new entrants and Rivalry among competitors are high for a company and to be competitive, a company can use Enhancing Customer Loyalty as a strategy.
- ii. Forming a buying group of small suppliers to sell as one large-volume seller of raw materials is a strategy used to negate the force coming from new entrants.

(8 Marks)

Index No:

- (c) A leading dog shampoo manufacturer in Sri Lanka hopes to introduce various pet products to the Sri Lankan market. They include special combs, shampoos, soaps, dog biscuits, artificial dog bones, dog sleeping cushions, cat houses, dog houses, pet cages and other pet products. Decide on a target market to introduce the products and develop a Marketing Strategy. Justify your answer.

(11 Marks)

Index No:

Question 4

- (a) Explain each theory and compare and contrast “Maslow’s Hierarchy of Needs theory” with “Herzberg’s two factor theory”.

(08 Marks)

(b) Discuss the characteristics of the following types of leadership, providing an example for each.

- i. Charismatic leadership
- ii. Transformational leadership
- iii. Transactional leadership
- iv. Entrepreneurial leadership

(8 Marks)

Index No:

- (c) (i) State **three (3)** Qualities needed and **three (3)** Qualities that a leader should **NOT** have, of a developing country and very briefly justify your answer.

(5 Marks)

- (ii) Propose **two (2)** strategies to develop a country like Sri Lanka to resolve the economic crisis and be more competitive in the world.

(4 Marks)
